

A CRYPTO QUANT SYSTEM
MAY 2026

HYPERLIQUID + KRAKEN

Trading Bot V2

Built on rigor. Powered by structural edges. Operated by transparency.

01

RIGOR

94/94 unit tests · OOS validation · No-lookahead audited

02

STRUCTURE

Funding capture carry + ICC pattern = barbell strategy

03

TRANSPARENCY

Belief-stage tracking · Honest haircuts · No false claims

Why most crypto trading bots fail

95

%

of retail AI trading bots lose money within 90 days.

Source: GoatFundedTrader, multi-year retail bot tracking 2024-26.

1 OVERFITTING

Strategies tuned to past data don't generalize. Beautiful backtests, ugly live runs.

2 FRICTION IGNORED

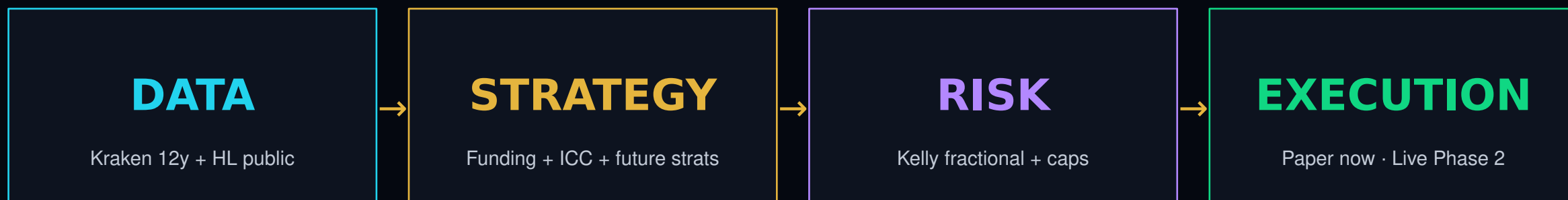
Backtests skip real fees, slippage, funding. Live P&L often 30-50% below the brochure.

3 NO RISK DISCIPLINE

V2'S ANSWER · We measure honestly, validate out-of-sample, model real friction, and size with discipline.

An honest, transparent crypto quant system

Trading Bot V2 is a **Python** trading system that **captures funding-rate carry** on Hyperliquid and **trades ICC swing patterns** on a filtered universe of major altcoins — with backtests, walk-forward, friction, and risk all measured before any capital is deployed.



Not a bot. A discipline.

MISSION

To build an algorithmic trading system that survives the contact with reality —

by measuring rigorously, respecting risk, and reporting honestly — even when it hurts the project.

— The V2 charter

Five principles that shape every decision

I

RADICAL TRANSPARENCY

Every claim qualified. Every backtest tagged with methodology + friction + window + regime. No hidden caveats.

II

NO OVERFIT

Fixed parameters from spec, not data-mined. Walk-forward strict. Filter universe validated on untouched windows.

III

STRUCTURAL EDGE > PATTERN

Funding capture (structural carry) is the spine. Pattern strategies (ICC) are decorations, not the load-bearing wall.

IV

BELIEF, NOT FAITH

Belief-stage % tracked openly. Drops below 50% → pivot proposal. Construction stage and belief stage clearly separated.

V

OPTIONALITY PRESERVED

V2 must remain a serious option, never a desperate bet. Kill criteria written before drawdowns. Capital exposure capped.

A barbell strategy — structural carry meets pattern hunting

FUNDING CAPTURE

Structural



EDGE TYPE	Risk premium · retail longs pay
DIRECTION	Delta-neutral · uncorrelated
NET APR	3–12% majors · 20–60% mid-caps
EROSION RISK	Low — needs retail behavior change
TAIL RISK	Liquidation cascade (mitigated)
CAPITAL EFF.	0.5x — needs collateral

ICC SWING

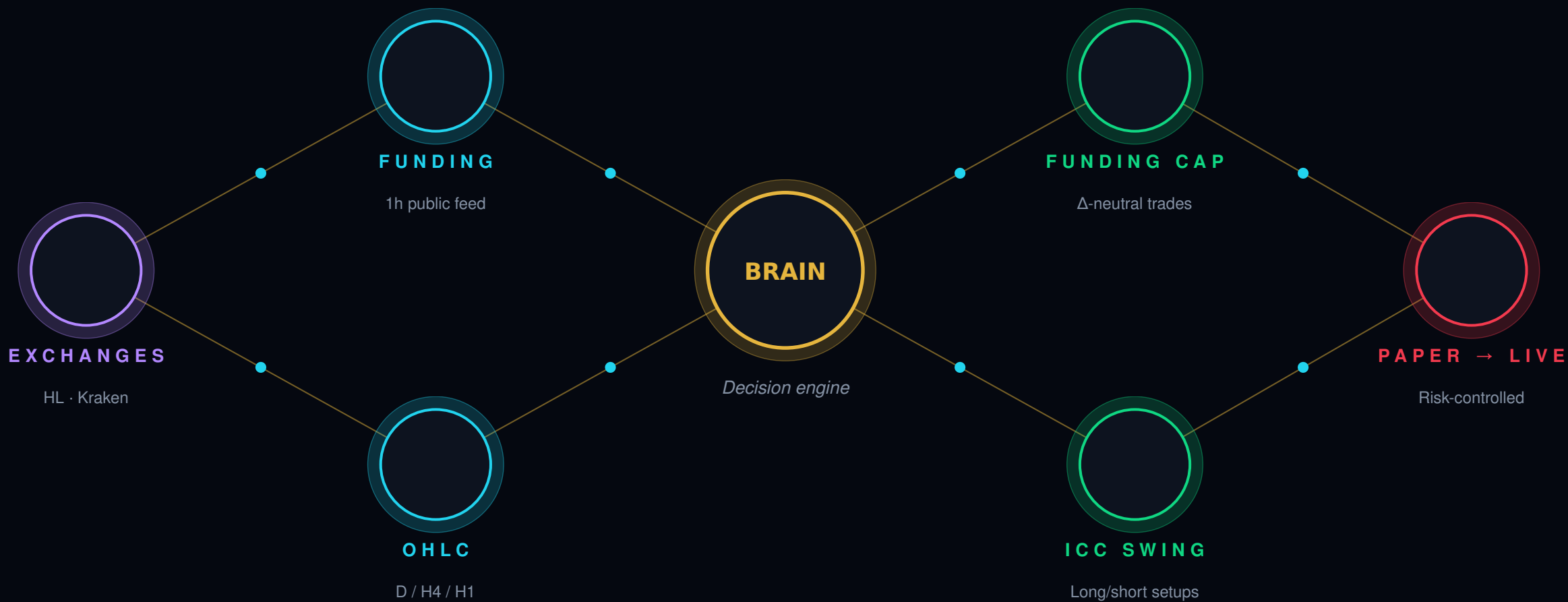
Pattern



EDGE TYPE	Behavioral · market structure
DIRECTION	Long & short · directional
SHARPE OOS	0.84–2.22 (with friction)
EROSION RISK	Moderate — SMC mainstream growing
TAIL RISK	Bounded by structural SL
CAPITAL EFF.	1x — full notional

TALEB BARBELL · Stable carry on one end, asymmetric pattern hunting on the other. Anti-fragile by construction.

Data flows in, decisions flow out



Decision engine consumes funding history + OHLC, applies V1 SL rules + funding signal logic, and emits orders — paper today, live tomorrow.

Where the system stands on 21 May 2026

METHODO walk-forward OOS · FRICTION fees + slippage + funding · WINDOW 2024-25 bull + 2022-23 bear · REGIME both

4 / 8

FILTERED UNIVERSE

2.22

SHARPE · BULL OOS

1.07

SHARPE · BEAR OOS

70%

BELIEF STAGE

FILTERED 4-ASSET UNIVERSE (PF · Σ PnL bull-window OOS)

ETH

PF

26.6

PNL

+59pp

LTC

PF

7.09

PNL

+52pp

AVAX

PF

2.04

PNL

+17pp

SOL

PF

2.77

PNL

+25pp

- Paper trading running autonomously
- Telegram alerting + watchdog active
- No live capital deployed yet
- Phase 2 broker demo: post-validation

Three macro tailwinds align in 2026

MARKET

Hyperliquid captures 44% of perp-DEX volume

share gain since January 2026 — only major perp venue gaining share

Best-in-class fees (0.015/0.045 bps), hourly funding, on-chain transparency. The infrastructure curve V2 rides.

+8 pp

yellow.com · DeFiLlama

REGULATION

MiCA goes live 1 July 2026

Clarity for proprietary trading. Barrier for unlicensed copy/SaaS — a moat for compliant operators.

DAC8 transmission auto since January. Grey-zone era over. Early movers with clean operations have advantage.

01.07.26

ESMA · Sumsub 2026

PRODUCT

Retail SMC bots dominate visuals, not execution

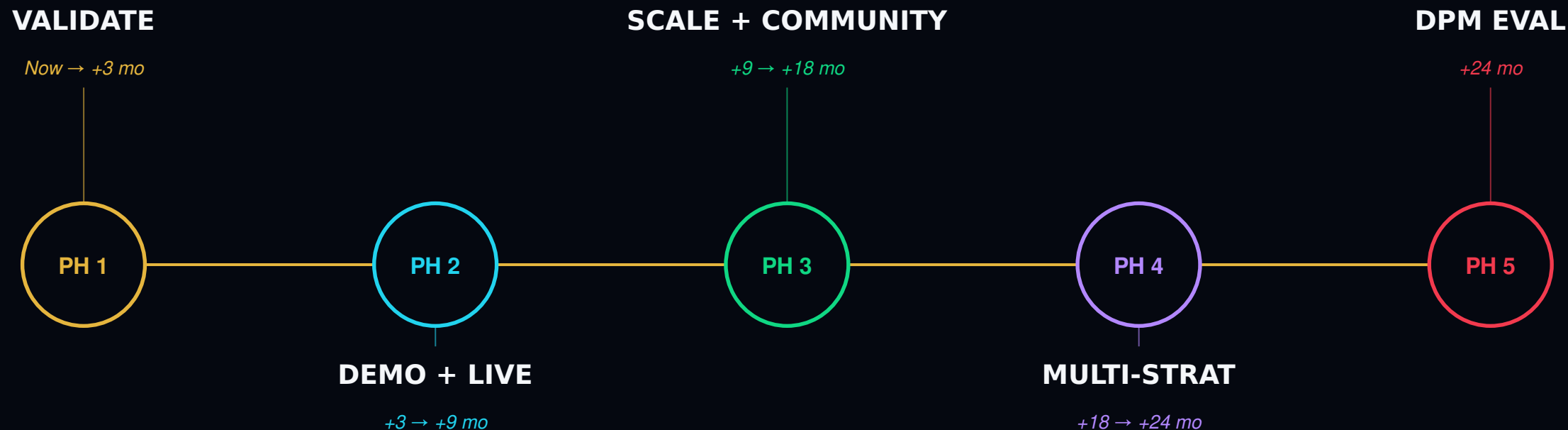
Almost no end-to-end Python ICC bot exists publicly. The vertical is empty.

LuxAlgo, SMRT Algo, ICT — all indicators. Cryptohopper, 3Commas — all SaaS. V2 sits in the white space.

\$0

TradingView · industry scan

A 24-month trajectory from solo bot to community + scale



TRAJECTORY · Each phase gates the next. We don't deploy capital before OOS validates. We don't build SaaS before community validates. We don't seek licence before product validates.

Seven possible levels — each with its tradeoffs

1	PROPRIETARY Own capital, no third party	REVENUE 100% of edge	LICENCE None	→
2	OPEN-SOURCE + PATREON Community + soft monetization	REVENUE \$1-5k/mo at 100-500 subs	LICENCE None	→
3	SIGNAL CHANNEL Discord/Telegram paid	REVENUE \$20-100 / sub / mo	LICENCE Border-line	→
4	TURNKEY SaaS Customer connects exchange	REVENUE \$30-100 / customer / mo	LICENCE CASP	→
5	COPY-TRADING POOL Via Finestel / Stoic partnership	REVENUE 10-30% perf fee	LICENCE Partner	→
6	DPM RETAIL Discretionary portfolio mgmt	REVENUE 2%/20% standard	LICENCE CASP full	→
7	HEDGE FUND Institutional capital	REVENUE 2/20 + \$10M+ AUM	LICENCE Offshore + onshore	→

12-month target: **Levels 2-3** · 24-month: **Level 4-5** · Levels 6-7 are full career bets — not committed.

Where competitors stop, V2 begins

	INDICATORS (LuxAlgo, SMRT, ICT)	SaaS BOTS (3Commas, Cryptohopper)	QUANT FUNDS (institutional)	TRADING BOT V2
Backtest reproducible	—	Marketed	Yes	Yes — public methodology
Walk-forward OOS+friction	—	Rarely	Yes	Yes — 2 regimes documented
No-lookahead audited	—	—	Internal	Yes — public audit doc
Belief % tracked	—	—	Internal	Yes — radical transparency
Funding capture	—	Limited	Yes	Yes — Hyperliquid native
Open source	Mixed	—	—	Partial planned
Accessible price	\$15-30/mo	\$30-100/mo	Inaccessible	TBD — community first

POSITIONING · Indicators give you the chart. SaaS bots give you a service. Quant funds keep you out. V2 gives you the methodology — open, measured, defensible.

Risk-adjusted, OOS, friction-applied

V1 OOS + FRICTION · STYLIZED EQUITY

PnL +

0

Illustrative — actual equity curves in results/walkforward_v1_oos_friction_.json*

2024

2025

WIN RATE

60.5%*in-sample → OOS+friction*→ **49.5%**

PROFIT FACTOR

3.84*weighted across 2 regimes*→ **2.09** Σ PnL**+501 pp***raw IS vs OOS combined*→ **+216 pp**

DRAWDOWN

~7%*max OOS+friction*→ **10.4%**

The grey number on the left is what most retail bots advertise. The colored number on the right is what V2 acknowledges as real.

THE PROMISE

If V2 works, you'll know why.

If V2 fails, you'll know why.

Either way, we measure, we report, we adapt.

21 May

Daemon launched · paper trading begins

28 May

Intermediate report · J+8 review

3 June

Return · full debrief · Phase 2 decision